BEFORE THE NEW YORK STATE
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	)	**Case 23-G-0225**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service	)	**Case 23-G-0226**

REBUTTAL TESTIMONY OF SONAL JESSEL
ON BEHALF OF WE ACT FOR ENVIRONMENTAL JUSTICE

September 22, 2023

TABLE OF CONTENTS

LIST OF EXHIBITS ii

I. INTRODUCTION 1

II. REBUTTAL OF STAFF'S INTERPRETATION OF CLCPA SECTION 7(3) AND THE INVESTMENT MANDATE 2

III. REBUTTAL OF STAFF'S REMOVAL OF THE WEATHERIZATION HEALTH & SAFETY PILOT PROJECT 6

LIST OF EXHIBITS

Exhibit A: Mohammad H. Abbasi et al.**,** *Planning Energy Interventions in Buildings and Tackling Fuel Poverty: Can Two Birds be Fed with One Scone?*, 93 Energy Rsch. & Soc. Sci. 2 (2022).

I. INTRODUCTION

Q. Please state your name and position.

A. My name is Sonal Jessel and I am the Director of Policy at WE ACT for Environmental Justice.

Q. Does your prior testimony describe WE ACT for Environmental Justice?

A. Yes. My direct testimony, which was filed on September 1, 2023, describes the organization and its mission.

Q. Does your prior testimony include your educational background and relevant experience?

A. Yes. My direct testimony, which was filed on September 1, 2023, describes my educational background and relevant experience.

Q. On whose behalf do you submit this rebuttal testimony?

A. I submit this rebuttal testimony on behalf of WE ACT for Environmental Justice.

Q. What is the purpose of your rebuttal testimony?

A. I have reviewed the Pre-Filed Direct Testimony of the Policy Panel of the Department of Public Service Staff ("Staff").[1] My rebuttal testimony responds to that piece of testimony and specifically addresses disadvantaged communities ("DACs") as defined by the Climate Leadership and Community Protection Act ("CLCPA").[2]

Q. Are you sponsoring any exhibits with your testimony?

A. Yes. I am attaching the following exhibit:

[1] Case Nos. 22-G-0226 & 22-G-0225, Staff Policy Panel Testimony, N.Y. Dep't of Pub. Serv. (Sept. 1, 2023) (Dkt. Nos. 29, 33) (hereinafter "Staff Policy").

[2] *See* ECL § 75-0111(1)(c).

- **Exhibit A:** Mohammad H. Abbasi et al.**,** *Planning Energy Interventions in Buildings and Tackling Fuel Poverty: Can Two Birds be Fed with One Scone?*, 93 Energy Rsch. & Soc. Sci. 2 (2022).

Q. Please summarize your conclusions and recommendations.

A. First, Staff incorrectly asserts that the proportion of expenditures in DACs should match the proportion of KEDNY and KEDLI's (the "Companies'") service territories that is made up of DACs. The CLCPA requires agencies—such as the New York Public Service Commission (the "Commission") —to ensure that DACs are not disproportionately burdened and that they receive an appropriate proportion of the benefits of clean energy and energy efficiency spending. Staff's understanding of the CLCPA fails to distinguish between benefits and burdens and would only perpetuate the current inequities in energy infrastructure siting.

Second, Staff incorrectly concludes that the Weatherization Health & Safety Pilot Program (the "Pilot Program") will not lead to any energy savings or reductions and therefore the program should not be subject to rate recovery. However, the Pilot Program leads to multiple benefits, such as health, environmental, and reductions in energy burdens. By continuing with the Pilot Program, the Companies can determine whether and how retrofits and pre-weatherization provide meaningful and verifiable energy and cost savings to low- and moderate-income ("LMI") and DAC households.

II. REBUTTAL OF STAFF'S INTERPRETATION OF CLCPA SECTION 7(3) AND THE INVESTMENT MANDATE

Q. Are you familiar with Section 7(3) of the CLCPA?

A. Yes.

Q. Please explain Section 7(3) of the CLCPA.

A. Section 7(3) prohibits state agencies from making administrative approvals or decisions that disproportionately burden DACs and requires state agencies to prioritize reductions of greenhouse gas and co-pollutant emissions in DACs.

Q. Are you familiar with the CLCPA's investment mandate?

A. Yes.

Q. What is the investment mandate?

A. The investment mandate, codified at Section 75-0117 of the New York Environmental Conservation Law, requires that at least 35% of the benefits of agency investments in clean energy and energy efficiency flow to DACs. The investment mandate also establishes a goal that DACs receive at least 40% of those benefits.

Q. Please summarize how Staff analyzed the impacts of the Companies' proposals on DACs.

A. Staff examined the proportion of expenditures within DACs compared to the total expenditures in the Companies' proposals.[3] Staff then compared the proportion of expenditures within DACs to the proportion of the Companies' service territory that is within DACs.[4] The rationale for this analysis is that "the proportion of expenditures occurring within [DACs] should roughly match the proportion of the Companies' service territories that are considered [DACs]."[5]

Q. Do you have concerns with Staff's analysis? Please explain.

A. Yes. I have serious concerns with Staff's assertion that "the proportion of expenditures occurring within [DACs] should roughly match the proportion of the Companies' service

[3] Staff Policy Panel at 53–54.
[4] *Id*. at 54.
[5] *Id*.

territories that are considered [DACs]."[6] The expenditures in DACs should be aimed at ensuring that DACs receive an appropriate proportion of the benefits of clean energy and energy efficiency investments, pursuant to the investment mandate; and that DACs are not disproportionately burdened, consistent with CLCPA Section 7(3). Staff's analytical framework fails to distinguish between burdens and benefits. Staff also appears to conflate CLCPA Section 7(3) and investment mandate, which impose two separate requirements on state agencies: one related to benefits and the other related to burdens.

The CLCPA aims to stop and reverse the historical trend of siting harmful energy infrastructure in DACs, and to ensure that DACs share in the benefits of the clean energy transition. Staff's assertion that investments should be sited proportionally in DACs, regardless of whether they are helpful or harmful, just perpetuates the status quo of environmental racism.

Q. What do you recommend?

A. In assessing the Companies' proposals on DACs, the Commission must look at whether a capital or operations and maintenance expenditure would create a burden or a benefit, and ensure that at least 35% of the benefits of clean energy and energy efficiency investments accrue to DACs.[7] While the State is still developing a framework for measuring these benefits, the Commission can comply with the investment mandate by ensuring that at least 35% of the dollars spent on energy efficiency and clean energy programs flow to DACs.[8] Benefits that are not the result of clean energy or energy efficiency spending—

[6] *Id*.
[7] ECL § 75-0117.
[8] *See, e.g.*, Case No. 19-E-0735, Order Extending and Expanding Distributed Solar Incentives at 23, N.Y. Dep't of Pub. Serv. (May 14, 2020) (Dkt. No. 13) (applying investment mandate by measuring 35% of the funding).

such as energy assistance programs that help defray utility bills—do not count towards the investment mandate. Similarly, projects that are physically sited in a DAC but do not benefit a DAC do not count towards the investment mandate.

If a proposed expenditure could create a burden, the Commission must ensure, pursuant to CLCPA Section 7(3), that DACs are not disproportionately burdened. The Commission should consider a broad range of potential burdens including potential health, economic, and environmental burdens on DACs. The Scoping Plan makes clear that "burdens" are not confined to traditional environmental impacts, concluding that:

> A fundamental objective of New York's nation-leading climate and energy agenda is to ensure that New York's transition to a clean energy economy addresses health, environmental, and energy burdens that have disproportionately impacted underrepresented or underserved communities (including people of color, indigenous populations, low-income individuals, and women) and to remedy the structural causes that underpin these burdens.[9]

The Scoping Plan's focus on health and energy burdens in addition to environmental burdens is consistent with the CLCPA's language. The law notes "the vulnerability of disadvantaged communities, which bear environmental and socioeconomic burdens as well as legacies of racial and ethnic discrimination," and also acknowledges the "[t]he complexity of the ongoing energy transition, the uneven distribution of economic opportunity, and the disproportionate cumulative economic and environmental burdens on communities."[10] To fulfill the promise of the CLCPA and Scoping Plan, at a bare minimum, the Commission should consider the environmental, health, and energy bill impacts of an agency decision on DACs.

---

[9] N.Y. State Climate Action Council, *Final Scoping Plan* 5 (Dec. 2022), https://climate.ny.gov/Resources/Scoping-Plan.

[10] CLCPA § 1(7), (11), S.B. 6599, 242d Sess. (N.Y. 2019).

The Commission should find that a burden falls disproportionately on disadvantaged communities if: (1) the burden adversely impacts more residents of disadvantaged communities than non-disadvantaged communities—in other words, DAC residents represent a disproportionately high percentage of people burdened by proposed expenditure; or (2) the proposal would result in more severe burdens for residents of DACs, which could occur because, for example, health burdens or other socioeconomic stressors in a DAC make air pollution impacts more dangerous to health, or because DACs are more directly exposed to pollution caused by the proposed expenditure.

Staff's analytical framework conflates CLCPA Section 7(3) with the investment mandate and fails to distinguish between benefits and burdens, and therefore, cannot be used by the Commisssion to ensure CLCPA compliance.

III. REBUTTAL OF STAFF'S REMOVAL OF THE WEATHERIZATION HEALTH & SAFETY PILOT PROJECT

Q. Are you familiar with the Companies' Weatherization Health and Safety Pilot Program, and if so, can you briefly explain the Pilot Program?

A. Yes. I discussed the Pilot Program in my direct testimony, which was filed on September 1, 2023. The Weatherization Health and Safety Pilot Program was previously implemented and financially funded by the Companies' shareholders.[11] The program enables remediation of health and safety barriers to weatherization, such as carbon monoxide hazards, mold, and insufficient wiring or ventilation. By implementing the program, the pilot will help address prerequisite home conditions to enable LMI and

[11] Case Nos. 22-G-0226 & 22-G-0225, Staff Efficiency Panel Testimony at 35, N.Y. Dep't of Pub. Serv. (Sept. 1, 2023) (Dkt. Nos. 31, 35) (hereinafter "Staff's Efficiency Panel Testimony").

DAC customers to access weatherization services more equitably because weatherization often involves significant home construction projects. This program will encourage more weatherization projects, which will reduce emissions in DACs. The associated costs with the Program are $1.75 million per year for KEDLI and $0.75 million per year for KEDNY.[12]

Q. Did any of the parties in the case express concerns with the Pilot Program?

A. Yes. Staff expressed concerns in its Pre-Filed Direct Efficiency Panel Testimony. Staff is concerned about the appropriateness of allocating ratepayer funding to support this program and questions whether the program is directly related to energy use or energy savings.[13] Staff also expressed concerns about an individual utility's ability to design and administer programs focused on non-energy measures without additional process, including information gathering and stakeholder engagement, to properly calibrate the State's approach to health and safety barriers to energy efficiency and building electrification.[14]

Q. How do you respond to these general concerns?

A. Continuing this pilot program will help determine whether retrofits and pre-weatherization provide meaningful and verifiable energy and cost savings to LMI and DAC households and offer viable approaches to incorporating the value of such interventions into more holistic cost effectiveness testing. This pilot program will help LMI and DAC families prepare their homes to meet the requirements of many of the state and federal Weatherization Assistance Programs ("WAPs"). Many potential WAP clients

[12] *Id*. at 35.
[13] *See id*.
[14] *See id*. at 36.

cannot afford the structural home repairs needed to qualify the home, and therefore lose the ability to participate in weatherization assistance which will result in energy savings and reduced energy bills. Without this vital pilot program, LMI and DAC families will not be able to receive the important benefits of the Weatherization Programs, will continue to suffer from high energy bills, and will be left behind in the transition to electrification.

Q. Did Staff offer any specific recommendations?

A. Yes. Staff recommends that the Commission reject the Companies' funding request and suggests that the Pilot Program be considered generically, in the NE:NY proceeding, rather than in an individual utility rate case proceeding.[15]

Q. Do you agree with these recommendations?

A. No, I do not agree with these recommendations. The Companies acknowledge that the Pilot Program will not directly reduce GHG emissions right away but rather will provide necessary foundations for enrolling greater numbers of customers into the Companies' energy efficiency programs and will enable more income-eligible customers to participate in home weatherization which will drive future GHG emissions reductions.[16] The Companies should keep the Pilot Program in the rate case and not move the program to a generic proceeding, such as NE:NY, until the Pilot Program has been fully developed.

Staff appears to be having difficulty accepting and estimating the full range of benefits of the Pilot Program, such as (1) the health benefits of damp and mold reduction

[15] *Id*. at 37.

[16] *See* Case Nos. 22-G-0226 & 22-G-0225, KEDLI & KEDNY CLCPA Filing Package at 30, N.Y. Dep't of Pub. Serv. (Apr. 28, 2023) (Dkt. No. 2) (hereinafter "Companies' Direct CLCPA Testimony").

or injury prevention, (2) energy savings and benefits such as improved outdoor air quality, (3) noise reduction, or (4) CO2 emissions savings. Having the Pilot Program remain in the rate case will allow the Companies, Staff, and stakeholders to quantify the full range of benefits, including energy savings and environmental and health impacts. Incorporating these additional metrics, such as health and air emissions, will embed an equity policy into the Benefit Cost Analysis ("BCA") and Societal Cost Test ("SCT") or, perhaps, a more holistic cost effectiveness measure not currently under consideration, which should have already taken into account the State's equity goals found in the CLCPA.

Q. Do you have any additional comments specific to the Pilot Program and pre-weatherization programs.

A. The Weatherization Pilot Program is an innovative solution that enables LMI and DAC households to become eligible for weatherization, which will result in reduced energy burdens and will make homes warmer and more comfortable. Energy burdens, also referred to as fuel poverty, are one of the main indicators of social sustainability that is often overlooked as a criterion associated with building energy interventions.[17] New York State's existing multi-criteria analysis frameworks, such as the BCA or SCT, do not usually take into account the risk of fuel poverty that may be alleviated as a result of implementing intervention programs, such as the Pilot Program, because the building performance is only evaluated through direct energy savings, energy prices and occupant income levels. The common approach to understanding the value and benefits of energy

[17] *See* Mohammad H. Abbasi et al., *Planning Energy Interventions in Buildings and Tackling Fuel Poverty: Can Two Birds be Fed with One Scone?*, 93 Energy Rsch. & Soc. Sci. 2 (2022), attached as Exhibit A.

efficiency centered on energy supply, energy affordability, and expenditure need to be expanded to include social factors as driving factors of fuel poverty among DACs and LMI households.[18] Understanding the linkage between fuel poverty and the Pilot Program is of vital importance for designing effective, fair, and sustainable solutions.[19]

I also want to emphasize that the Weatherization Health & Safety Program is still a pilot and the Companies are still developing and working out the kinks. As the Commission has previously said, Pilot Programs that test potential avenues to reduce GHG emissions, should not be excluded from the revenue requirement as an interim step in the transition process to decarbonizing the gas distribution system.[20] The process of electrifying and decarbonizing the gas distribution system is just that – a process.[21] The proposed Pilot Program is improving the health and safety of DACs and LMI communities while also testing potential energy reductions. The Pilot Program will help determine how pre-weatherization and pre-electrification programs will play a role in that process.

Q. What are your recommendations?

A. I recommend that the Pilot Program remain in the rate case. Over the next terms of the rate years, the Companies, Staff, and stakeholders can convene to develop a metric that includes health, environmental benefits, and energy burdens, to assess whether the Pilot

[18] *Id.* at 3.
[19] *See id.*
[20] Case Nos. 22-E-0064 & 22-G-0065, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements at 134–135, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas and Electric Services, N.Y. Dep't of Pub. Serv. (July 20, 2023) (Dkt. No. 196).
[21] *Id.*

Program results in meaningful energy savings and if it should remain in a rate case or in a generic proceeding.

Q. Do other states allow rate recovery for weatherization health and safety programs?

A. Yes. Earlier this year, the Board of Public Utilities in New Jersey approved a Final Rate for the Public Service Electric and Gas Company for a Residential Income Eligible Subprogram.[22] The program provides free direct installation of energy efficient technologies and weatherization services to qualifying customers as well as health and safety measures as appropriate, such as remediation.[23] The cost of the program is recovered by ratepayers.

Q. Does this conclude your testimony?

A. Yes.

[22] In the Matter of the Petition of Public Service Electric and Gas Company for Approval of Changes in its Electric Conservation Incentive Program (2022 PSE&G Electric CIP Rate Filing), Decision and Order Approving Stipulation for Final Rates, No. ER22020035, Exhibit A at 26 (Feb. 17, 2023), https://www.state.nj.us/bpu/pdf/boardorders/2023/20230217/2E%20ORDER%20PSE&G%20ECIP%20Final%20Rates.pdf

[23] *Id.* The subprogram generates energy savings for residential lower-income customers through an in-home energy audit and the direct installation of a wide range of energy efficiency measures such as efficient lighting, efficient refrigerators, HVAC, as well as weatherization upgrades for air-sealing and attic and wall insulation. The subprogram also provides for the installation of health and safety measures as appropriate, and may also include actions to address building shell issues that prevent the installation of energy efficiency measures, such as moisture/mold remediation, roof repairs, electrical repairs, and asbestos remediation.